

**SUBSTITUTE FOR
HOUSE BILL NO. 4202**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
by amending section 30 (MCL 206.30), as amended by 2026 PA 39.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 30. (1) "Taxable income" means, for a person other than a
2 corporation, estate, or trust, adjusted gross income as defined in
3 the internal revenue code subject to the following adjustments
4 under this section:

5 (a) Add gross interest income and dividends derived from
6 obligations or securities of states other than Michigan, in the
7 same amount that has been excluded from adjusted gross income less
8 related expenses not deducted in computing adjusted gross income
9 because of section 265(a)(1) of the internal revenue code.



1 (b) Add taxes on or measured by income to the extent the taxes
2 have been deducted in arriving at adjusted gross income including
3 any direct or indirect allocated share of taxes paid by a flow-
4 through entity under part 4.

5 (c) Add losses on the sale or exchange of obligations of the
6 United States government, the income of which this state is
7 prohibited from subjecting to a net income tax, to the extent that
8 the loss has been deducted in arriving at adjusted gross income.

9 (d) Deduct, to the extent included in adjusted gross income,
10 income derived from obligations, or the sale or exchange of
11 obligations, of the United States government that this state is
12 prohibited by law from subjecting to a net income tax, reduced by
13 any interest on indebtedness incurred in carrying the obligations
14 and by any expenses incurred in the production of that income to
15 the extent that the expenses, including amortizable bond premiums,
16 were deducted in arriving at adjusted gross income.

17 (e) Deduct, to the extent included in adjusted gross income,
18 the following:

19 (i) Compensation, including retirement or pension benefits,
20 received for services in the Armed Forces of the United States.

21 (ii) Retirement or pension benefits under the railroad
22 retirement act of 1974, 45 USC 231 to 231v.

23 (iii) Retirement or pension benefits received for services in
24 the Michigan National Guard.

25 (f) Deduct the following to the extent included in adjusted
26 gross income subject to the limitations and restrictions set forth
27 in subsection (9), (10), or (11), as applicable:

28 (i) Retirement or pension benefits received from a federal
29 public retirement system or from a public retirement system of or



1 created by this state or a political subdivision of this state.

2 (ii) Retirement or pension benefits received from a public
3 retirement system of or created by another state or any of its
4 political subdivisions if the income tax laws of the other state
5 permit a similar deduction or exemption or a reciprocal deduction
6 or exemption of a retirement or pension benefit received from a
7 public retirement system of or created by this state or any of the
8 political subdivisions of this state.

9 (iii) Social Security benefits as defined in section 86 of the
10 internal revenue code.

11 (iv) Beginning on and after January 1, 2007, retirement or
12 pension benefits not deductible under subparagraph (i) or
13 subdivision (e) from any other retirement or pension system or
14 benefits from a retirement annuity policy in which payments are
15 made for life to a senior citizen, to a maximum of \$42,240.00 for a
16 single return and \$84,480.00 for a joint return. The maximum
17 amounts allowed under this subparagraph shall be reduced by the
18 amount of the deduction for retirement or pension benefits claimed
19 under subparagraph (i) or subdivision (e) and by the amount of a
20 deduction claimed under subdivision (p). For the 2008 tax year and
21 each tax year after 2008, the maximum amounts allowed under this
22 subparagraph shall be adjusted by the percentage increase in the
23 United States Consumer Price Index for the immediately preceding
24 calendar year. The department shall annualize the amounts provided
25 in this subparagraph as necessary.

26 (v) The amount determined to be the section 22 amount eligible
27 for the elderly and the permanently and totally disabled credit
28 provided in section 22 of the internal revenue code.

29 (g) Adjustments resulting from the application of section 271.



1 (h) Adjustments with respect to estate and trust income as
2 provided in section 36.

3 (i) Adjustments resulting from the allocation and
4 apportionment provisions of chapter 3.

5 (j) Deduct the following payments made by the taxpayer in the
6 tax year:

7 (i) The amount of a charitable contribution made to the advance
8 tuition payment fund created under section 9 of the Michigan
9 education trust act, 1986 PA 316, MCL 390.1429.

10 (ii) The amount of payment made under an advance tuition
11 payment contract as provided in the Michigan education trust act,
12 1986 PA 316, MCL 390.1421 to 390.1442.

13 (iii) The amount of payment made under a contract with a private
14 sector investment manager that meets all of the following criteria:

15 (A) The contract is certified and approved by the board of
16 directors of the Michigan education trust to provide equivalent
17 benefits and rights to purchasers and beneficiaries as an advance
18 tuition payment contract as described in subparagraph (ii).

19 (B) The contract applies only for a state institution of
20 higher education as defined in the Michigan education trust act,
21 1986 PA 316, MCL 390.1421 to 390.1442, or a community or junior
22 college in Michigan.

23 (C) The contract provides for enrollment by the contract's
24 qualified beneficiary in not less than 4 years after the date on
25 which the contract is entered into.

26 (D) The contract is entered into after either of the
27 following:

28 (I) The purchaser has had the purchaser's offer to enter into
29 an advance tuition payment contract rejected by the board of



1 directors of the Michigan education trust, if the board determines
2 that the trust cannot accept an unlimited number of enrollees upon
3 an actuarially sound basis.

4 (II) The board of directors of the Michigan education trust
5 determines that the trust can accept an unlimited number of
6 enrollees upon an actuarially sound basis.

7 (k) If an advance tuition payment contract under the Michigan
8 education trust act, 1986 PA 316, MCL 390.1421 to 390.1442, or
9 another contract for which the payment was deductible under
10 subdivision (j) is terminated and the qualified beneficiary under
11 that contract does not attend a university, college, junior or
12 community college, or other institution of higher education, add
13 the amount of a refund received by the taxpayer as a result of that
14 termination or the amount of the deduction taken under subdivision
15 (j) for payment made under that contract, whichever is less.

16 (l) Deduct from the taxable income of a purchaser the amount
17 included as income to the purchaser under the internal revenue code
18 after the advance tuition payment contract entered into under the
19 Michigan education trust act, 1986 PA 316, MCL 390.1421 to
20 390.1442, is terminated because the qualified beneficiary attends
21 an institution of postsecondary education other than either a state
22 institution of higher education or an institution of postsecondary
23 education located outside this state with which a state institution
24 of higher education has reciprocity.

25 (m) Add, to the extent deducted in determining adjusted gross
26 income, the net operating loss deduction under section 172 of the
27 internal revenue code.

28 (n) Deduct a net operating loss deduction for the taxable year
29 as determined under section 172 of the internal revenue code



1 subject to the modifications under section 172(b)(2) of the
2 internal revenue code and subject to the allocation and
3 apportionment provisions of chapter 3 for the taxable year in which
4 the loss was incurred.

5 (o) Deduct, to the extent included in adjusted gross income,
6 benefits from a discriminatory self-insurance medical expense
7 reimbursement plan.

8 (p) Beginning on and after January 1, 2007, subject to any
9 limitation provided in this subdivision, a taxpayer who is a senior
10 citizen may deduct to the extent included in adjusted gross income,
11 interest, dividends, and capital gains received in the tax year not
12 to exceed \$9,420.00 for a single return and \$18,840.00 for a joint
13 return. The maximum amounts allowed under this subdivision shall be
14 reduced by the amount of a deduction claimed for retirement or
15 pension benefits under subdivision (e) or a deduction claimed under
16 subdivision (f) (i), (ii), (iv), or (v). For the 2008 tax year and each
17 tax year after 2008, the maximum amounts allowed under this
18 subdivision shall be adjusted by the percentage increase in the
19 United States Consumer Price Index for the immediately preceding
20 calendar year. The department shall annualize the amounts provided
21 in this subdivision as necessary. The deduction under this
22 subdivision is not available to a senior citizen born after 1945.

23 (q) Deduct, to the extent included in adjusted gross income,
24 all of the following:

25 (i) The amount of a refund received in the tax year based on
26 taxes paid under this part and any direct or indirect allocated
27 share of a refund received by a flow-through entity under part 4.

28 (ii) The amount of a refund received in the tax year based on
29 taxes paid under the city income tax act, 1964 PA 284, MCL 141.501



1 to 141.787.

2 (iii) The amount of a credit received in the tax year based on a
3 claim filed under sections 520 and 522 to the extent that the taxes
4 used to calculate the credit were not used to reduce adjusted gross
5 income for a prior year.

6 (r) Add the amount paid by the state on behalf of the taxpayer
7 in the tax year to repay the outstanding principal on a loan taken
8 on which the taxpayer defaulted that was to fund an advance tuition
9 payment contract entered into under the Michigan education trust
10 act, 1986 PA 316, MCL 390.1421 to 390.1442, if the cost of the
11 advance tuition payment contract was deducted under subdivision (j)
12 and was financed with a Michigan education trust secured loan.

13 (s) Deduct, to the extent included in adjusted gross income,
14 any amount, and any interest earned on that amount, received in the
15 tax year by a taxpayer who is a Holocaust victim as a result of a
16 settlement of claims against any entity or individual for any
17 recovered asset pursuant to the German act regulating unresolved
18 property claims, also known as Gesetz zur Regelung offener
19 Vermögensfragen, as a result of the settlement of the action
20 entitled *In re: Holocaust victim assets litigation*, CV-96-4849, CV-
21 96-5161, and CV-97-0461 (E.D. NY), or as a result of any similar
22 action if the income and interest are not commingled in any way
23 with and are kept separate from all other funds and assets of the
24 taxpayer. As used in this subdivision:

25 (i) "Holocaust victim" means a person, or the heir or
26 beneficiary of that person, who was persecuted by Nazi Germany or
27 any Axis regime during any period from 1933 to 1945.

28 (ii) "Recovered asset" means any asset of any type and any
29 interest earned on that asset, including, but not limited to, bank



1 deposits, insurance proceeds, or artwork owned by a Holocaust
2 victim during the period from 1920 to 1945, withheld from that
3 Holocaust victim from and after 1945, and not recovered, returned,
4 or otherwise compensated to the Holocaust victim until after 1993.

5 (t) Deduct all of the following:

6 (i) To the extent not deducted in determining adjusted gross
7 income, contributions made by the taxpayer in the tax year less
8 qualified withdrawals made in the tax year from education savings
9 accounts, calculated on a per education savings account basis,
10 pursuant to the Michigan education savings program act, 2000 PA
11 161, MCL 390.1471 to 390.1486, not to exceed a total deduction of
12 \$5,000.00 for a single return or \$10,000.00 for a joint return per
13 tax year. The amount calculated under this subparagraph for each
14 education savings account shall not be less than zero.

15 (ii) To the extent included in adjusted gross income, interest
16 earned in the tax year on the contributions to the taxpayer's
17 education savings accounts if the contributions were deductible
18 under subparagraph (i).

19 (iii) To the extent included in adjusted gross income,
20 distributions that are qualified withdrawals from an education
21 savings account to the designated beneficiary of that education
22 savings account.

23 (u) Add, to the extent not included in adjusted gross income,
24 the amount of money withdrawn by the taxpayer in the tax year from
25 education savings accounts, not to exceed the total amount deducted
26 under subdivision (t) in the tax year and all previous tax years,
27 if the withdrawal was not a qualified withdrawal as provided in the
28 Michigan education savings program act, 2000 PA 161, MCL 390.1471
29 to 390.1486. This subdivision does not apply to withdrawals that



1 are less than the sum of all contributions made to an education
2 savings account in all previous tax years for which no deduction
3 was claimed under subdivision (t), less any contributions for which
4 no deduction was claimed under subdivision (t) that were withdrawn
5 in all previous tax years.

6 (v) A taxpayer who is a resident tribal member may deduct, to
7 the extent included in adjusted gross income, all nonbusiness
8 income earned or received in the tax year and during the period in
9 which an agreement entered into between the taxpayer's tribe and
10 this state pursuant to section 30c of 1941 PA 122, MCL 205.30c, is
11 in full force and effect. As used in this subdivision:

12 (i) "Business income" means business income as defined in
13 section 4 and apportioned under chapter 3.

14 (ii) "Nonbusiness income" means nonbusiness income as defined
15 in section 14 and, to the extent not included in business income,
16 all of the following:

17 (A) All income derived from wages whether the wages are earned
18 within the agreement area or outside of the agreement area.

19 (B) All interest and passive dividends.

20 (C) All rents and royalties derived from real property located
21 within the agreement area.

22 (D) All rents and royalties derived from tangible personal
23 property, to the extent the personal property is utilized within
24 the agreement area.

25 (E) Capital gains from the sale or exchange of real property
26 located within the agreement area.

27 (F) Capital gains from the sale or exchange of tangible
28 personal property located within the agreement area at the time of
29 sale.



1 (G) Capital gains from the sale or exchange of intangible
2 personal property.

3 (H) All pension income and benefits, including, but not
4 limited to, distributions from a 401(k) plan, individual retirement
5 accounts under section 408 of the internal revenue code, or a
6 defined contribution plan, or payments from a defined benefit plan.

7 (I) All per capita payments by the tribe to resident tribal
8 members, without regard to the source of payment.

9 (J) All gaming winnings.

10 (iii) "Resident tribal member" means an individual who meets all
11 of the following criteria:

12 (A) Is an enrolled member of a federally recognized tribe.

13 (B) The individual's tribe has an agreement with this state
14 pursuant to section 30c of 1941 PA 122, MCL 205.30c, that is in
15 full force and effect.

16 (C) The individual's principal place of residence is located
17 within the agreement area as designated in the agreement under sub-
18 subparagraph (B).

19 (w) Eliminate all of the following:

20 (i) Income from producing oil and gas to the extent included in
21 adjusted gross income.

22 (ii) Expenses of producing oil and gas to the extent deducted
23 in arriving at adjusted gross income.

24 (x) Deduct all of the following:

25 (i) To the extent not deducted in determining adjusted gross
26 income, contributions made by the taxpayer in the tax year less
27 qualified withdrawals made in the tax year from an ABLE savings
28 account, pursuant to the Michigan achieving a better life
29 experience (ABLE) program act, 2015 PA 160, MCL 206.981 to 206.997,



1 not to exceed a total deduction of \$5,000.00 for a single return or
2 \$10,000.00 for a joint return per tax year. The amount calculated
3 under this subparagraph for an ABLE savings account shall not be
4 less than zero.

5 (ii) To the extent included in adjusted gross income, interest
6 earned in the tax year on the contributions to the taxpayer's ABLE
7 savings account if the contributions were deductible under
8 subparagraph (i).

9 (iii) To the extent included in adjusted gross income,
10 distributions that are qualified withdrawals from an ABLE savings
11 account to the designated beneficiary of that ABLE savings account.

12 (y) Add, to the extent not included in adjusted gross income,
13 the amount of money withdrawn by the taxpayer in the tax year from
14 an ABLE savings account, not to exceed the total amount deducted
15 under subdivision (x) in the tax year and all previous tax years,
16 if the withdrawal was not a qualified withdrawal as provided in the
17 Michigan achieving a better life experience (ABLE) program act,
18 2015 PA 160, MCL 206.981 to 206.997. This subdivision does not
19 apply to withdrawals that are less than the sum of all
20 contributions made to an ABLE savings account in all previous tax
21 years for which no deduction was claimed under subdivision (x),
22 less any contributions for which no deduction was claimed under
23 subdivision (x) that were withdrawn in all previous tax years.

24 (z) Deduct, to the extent included in adjusted gross income,
25 compensation received in the tax year pursuant to the wrongful
26 imprisonment compensation act, 2016 PA 343, MCL 691.1751 to
27 691.1757.

28 (aa) For tax years that begin on and after January 1, 2025, a
29 taxpayer who is a disabled veteran may deduct, to the extent



1 included in adjusted gross income, income reported on a federal
2 income tax form 1099-C that is attributable to the cancellation or
3 discharge of a student loan by the United States Department of
4 Education pursuant to the total and permanent disability discharge
5 program, 34 CFR 685.213. As used in this subdivision, "disabled
6 veteran" means an individual who meets either of the following
7 criteria:

8 (i) Has been determined by the United States Department of
9 Veterans Affairs to be permanently and totally disabled as a result
10 of military service and entitled to veterans' benefits at the 100%
11 rate.

12 (ii) Has been rated by the United States Department of Veterans
13 Affairs as individually unemployable.

14 (bb) For tax years that begin on and after January 1, 2021,
15 and subject to the limitation under this subdivision, deduct, to
16 the extent not deducted in determining adjusted gross income,
17 wagering losses deducted under section 165(d) of the internal
18 revenue code on the taxpayer's federal income tax return for the
19 same tax year. For a nonresident, only wagering losses that are
20 attributable to wagering transactions placed at or through a casino
21 or licensed race meeting located in this state may be deducted and
22 must not exceed the gains on wagering transactions allocated to
23 this state under section 110(2)(d). As used in this subdivision,
24 "casino" and "licensed race meeting" mean those terms as defined in
25 section 110.

26 (cc) Except as otherwise provided under subparagraph (i), for
27 tax years that begin on and after January 1, 2022, deduct all of
28 the following:

29 (i) To the extent not deducted in determining adjusted gross



1 income, contributions made by the taxpayer in the tax year less
2 qualified withdrawals made in the tax year from a first-time home
3 buyer savings account, pursuant to the Michigan first-time home
4 buyer savings program act, 2022 PA 6, MCL 565.1001 to 565.1013, not
5 to exceed a total deduction of \$5,000.00 for a single return or
6 \$10,000.00 for a joint return per tax year. The amount calculated
7 under this subparagraph for a first-time home buyer savings account
8 shall not be less than zero. The deduction under this subparagraph
9 does not apply for tax years that begin after December 31, 2026.

10 (ii) To the extent not deducted in determining adjusted gross
11 income, interest earned in the tax year on the contributions to the
12 taxpayer's first-time home buyer savings account.

13 (iii) To the extent included in adjusted gross income,
14 distributions that are qualified withdrawals from a first-time home
15 buyer savings account to the qualified beneficiary of that savings
16 account.

17 (dd) For tax years that begin on and after January 1, 2022,
18 add, to the extent not included in adjusted gross income, the
19 amount of money withdrawn by the taxpayer in the tax year from a
20 first-time home buyer savings account, not to exceed the total
21 amount deducted under subdivision (cc) in the tax year and all
22 previous tax years, if the withdrawal was not a qualified
23 withdrawal as provided in the Michigan first-time home buyer
24 savings program act, 2022 PA 6, MCL 565.1001 to 565.1013. This
25 subdivision does not apply to withdrawals that are less than the
26 sum of all contributions made to a first-time home buyer savings
27 account in all previous tax years for which no deduction was
28 claimed under subdivision (cc), less any contributions for which no
29 deduction was claimed under subdivision (cc) that were withdrawn in



1 all previous tax years.

2 (ee) Subject to the limitations under this subdivision, for
3 tax years beginning after December 31, 2025 and before January 1,
4 2029, deduct, to the extent not deducted in determining adjusted
5 gross income, an amount equal to the sum of the following
6 deductions allowed to be claimed on the taxpayer's federal income
7 tax return for the same tax year:

8 (i) Qualified tips under section 224 of the internal revenue
9 code. For a nonresident, only qualified tips that are attributable
10 to services performed in this state may be deducted.

11 (ii) Qualified overtime compensation under section 225 of the
12 internal revenue code. For a nonresident, only qualified overtime
13 compensation that is attributable to services performed in this
14 state may be deducted.

15 (ff) For tax years beginning after December 31, 2024, adjusted
16 gross income must be calculated as if both of the following
17 conditions applied, subject to any necessary adjustments under
18 subparagraph (iii):

19 (i) Sections 168(n) and 174A of the internal revenue code were
20 not in effect.

21 (ii) Sections 163(j), 168(k), 174, and 179 of the internal
22 revenue code applied as those provisions were in effect on December
23 31, 2024.

24 (iii) The state treasurer shall, if necessary, modify the
25 application of any references in the internal revenue code to the
26 sections identified in subparagraphs (i) and (ii) in a reasonable
27 manner to carry out the purpose of this subdivision, including, but
28 not limited to, modifying the application of section references
29 that were amended under Public Law 119-21.



(gg) For tax years beginning after December 31, 2021, adjusted gross income must be calculated as if the transition rules under section 70302 of Public Law 119-21, including, but not limited to, any provisions related to the application of section 174A of the internal revenue code, do not apply.

(hh) Add, to the extent deducted in determining adjusted gross income, wages paid for organ donation leave for which a credit under section 279 or 679 is claimed.

(2) Except as otherwise provided in subsection (7), and section 30a, a personal exemption of \$3,700.00 multiplied by the number of personal and dependency exemptions shall be subtracted in the calculation that determines taxable income. The number of personal and dependency exemptions allowed shall be determined as follows:

(a) Each taxpayer may claim 1 personal exemption. However, if a joint return is not made by the taxpayer and the taxpayer's spouse, the taxpayer may claim a personal exemption for the spouse if the spouse, for the calendar year in which the taxable year of the taxpayer begins, does not have any gross income and is not the dependent of another taxpayer.

(b) A taxpayer may claim a dependency exemption for each individual who is a dependent of the taxpayer for the tax year.

(c) A taxpayer may claim an additional exemption under this subsection in the tax year for which the taxpayer has a certificate of stillbirth from the department of health and human services as provided under section 2834 of the public health code, 1978 PA 368, MCL 333.2834.

(d) For tax years beginning on and after January 1, 2028, a taxpayer who is at least 12 weeks pregnant as of the last day of



1 the tax year and has been under the care and observation of a
2 health care professional since at least the twelfth week of
3 pregnancy may claim an additional exemption under this subsection
4 for that same tax year. In order to claim the exemption under this
5 subdivision, the taxpayer shall request a medical statement from
6 the taxpayer's health care professional verifying that the taxpayer
7 is at least 12 weeks pregnant as of the last day of the tax year
8 and shall attach the medical statement to the annual return filed
9 under this part for the same tax year for which the exemption is
10 claimed. The medical statement required under this subdivision must
11 be signed and dated by the health care professional. As used in
12 this subdivision, "health care professional" means any of the
13 following:

14 (i) An individual licensed to engage in the practice of
15 medicine or the practice of osteopathic medicine and surgery under
16 part 170 or 175 of the public health code, 1978 PA 368, MCL
17 333.17001 to 333.17097 and 333.17501 to 333.17556.

18 (ii) An individual licensed to engage in the practice of
19 midwifery under part 171 of the public health code, 1978 PA 368,
20 MCL 333.17101 to 333.17123.

21 (iii) An individual who is licensed as a registered professional
22 nurse under part 172 of the public health code, 1978 PA 368, MCL
23 333.17201 to 333.17242, and who has been granted a specialty
24 certification as a nurse practitioner or a specialty certification
25 in the health profession specialty field of nurse midwifery by the
26 Michigan board of nursing under section 17210 of the public health
27 code, 1978 PA 368, MCL 333.17210.

28 (iv) An individual who is a doula who provides continuous
29 physical, emotional, and informational support to a mother before,



1 during, and shortly after childbirth to help the mother achieve a
2 healthy and satisfying childbirth experience.

3 (3) Except as otherwise provided in subsection (7), a single
4 additional exemption determined as follows shall be subtracted in
5 the calculation that determines taxable income in each of the
6 following circumstances:

7 (a) \$1,800.00 for each taxpayer and every dependent of the
8 taxpayer who is a deaf person as defined in section 2 of the deaf
9 persons' interpreters act, 1982 PA 204, MCL 393.502; a paraplegic,
10 a quadriplegic, or a hemiplegic; a person who is blind as defined
11 in section 504; or a person who is totally and permanently disabled
12 as defined in section 522. When a dependent of a taxpayer files an
13 annual return under this part, the taxpayer or dependent of the
14 taxpayer, but not both, may claim the additional exemption allowed
15 under this subdivision.

16 (b) For tax years beginning after 2007, \$250.00 for each
17 taxpayer and every dependent of the taxpayer who is a qualified
18 disabled veteran. When a dependent of a taxpayer files an annual
19 return under this part, the taxpayer or dependent of the taxpayer,
20 but not both, may claim the additional exemption allowed under this
21 subdivision. As used in this subdivision:

22 (i) "Qualified disabled veteran" means a veteran with a
23 service-connected disability.

24 (ii) "Service-connected disability" means a disability incurred
25 or aggravated in the line of duty in the active military, naval, or
26 air service as described in 38 USC 101(16).

27 (iii) "Veteran" means an individual who served in the active
28 military, naval, marine, coast guard, or air service and who was
29 discharged or released from the individual's service with an



1 honorable or general discharge.

2 (4) An individual with respect to whom a deduction under
3 subsection (2) is allowable to another taxpayer during the tax year
4 is not entitled to an exemption for purposes of subsection (2), but
5 may subtract \$1,500.00 in the calculation that determines taxable
6 income for a tax year.

7 (5) A nonresident or a part-year resident is allowed that
8 proportion of an exemption or deduction allowed under subsection
9 (2), (3), or (4) that the taxpayer's portion of adjusted gross
10 income from Michigan sources bears to the taxpayer's total adjusted
11 gross income.

12 (6) In calculating taxable income, a taxpayer shall not
13 subtract from adjusted gross income the amount of prizes won by the
14 taxpayer under the McCauley-Traxler-Law-Bowman-McNeely lottery act,
15 1972 PA 239, MCL 432.1 to 432.47.

16 (7) For each tax year beginning on and after January 1, 2013,
17 the personal exemption allowed under subsection (2) shall be
18 adjusted by multiplying the exemption for the tax year beginning in
19 2012 by a fraction, the numerator of which is the United States
20 Consumer Price Index for the state fiscal year ending in the tax
21 year prior to the tax year for which the adjustment is being made
22 and the denominator of which is the United States Consumer Price
23 Index for the 2010-2011 state fiscal year. For the 2022 tax year
24 and each tax year after 2022, the adjusted amount determined under
25 this subsection shall be increased by an additional \$600.00. The
26 resultant product shall be rounded to the nearest \$100.00
27 increment. For each tax year, the exemptions allowed under
28 subsection (3) shall be adjusted by multiplying the exemption
29 amount under subsection (3) for the tax year by a fraction, the



1 numerator of which is the United States Consumer Price Index for
2 the state fiscal year ending the tax year prior to the tax year for
3 which the adjustment is being made and the denominator of which is
4 the United States Consumer Price Index for the 1998-1999 state
5 fiscal year. The resultant product shall be rounded to the nearest
6 \$100.00 increment.

7 (8) As used in this section, "retirement or pension benefits"
8 means distributions from all of the following:

9 (a) Except as provided in subdivision (d), qualified pension
10 trusts and annuity plans that qualify under section 401(a) of the
11 internal revenue code, including all of the following:

12 (i) Plans for self-employed persons, commonly known as Keogh or
13 HR10 plans.

14 (ii) Individual retirement accounts that qualify under section
15 408 of the internal revenue code if the distributions are not made
16 until the participant has reached 59-1/2 years of age, except in
17 the case of death, disability, or distributions described by
18 section 72(t)(2)(A)(iv) of the internal revenue code.

19 (iii) Employee annuities or tax-sheltered annuities purchased
20 under section 403(b) of the internal revenue code by organizations
21 exempt under section 501(c)(3) of the internal revenue code, or by
22 public school systems.

23 (iv) Distributions from a 401(k) plan attributable to employee
24 contributions mandated by the plan or attributable to employer
25 contributions.

26 (b) The following retirement and pension plans not qualified
27 under the internal revenue code:

28 (i) Plans of the United States, state governments other than
29 this state, and political subdivisions, agencies, or



1 instrumentalities of this state.

2 (ii) Plans maintained by a church or a convention or
3 association of churches.

4 (iii) All other unqualified pension plans that prescribe
5 eligibility for retirement and predetermine contributions and
6 benefits if the distributions are made from a pension trust.

7 (c) Retirement or pension benefits received by a surviving
8 spouse if those benefits qualified for a deduction prior to the
9 decedent's death. Benefits received by a surviving child are not
10 deductible.

11 (d) Retirement and pension benefits do not include:

12 (i) Amounts received from a plan that allows the employee to
13 set the amount of compensation to be deferred and does not
14 prescribe retirement age or years of service. These plans include,
15 but are not limited to, all of the following:

16 (A) Deferred compensation plans under section 457 of the
17 internal revenue code.

18 (B) Distributions from plans under section 401(k) of the
19 internal revenue code other than plans described in subdivision
20 (a) (iv) .

21 (C) Distributions from plans under section 403(b) of the
22 internal revenue code other than plans described in subdivision
23 (a) (iii) .

24 (ii) Premature distributions paid on separation, withdrawal, or
25 discontinuance of a plan prior to the earliest date the recipient
26 could have retired under the provisions of the plan.

27 (iii) Payments received as an incentive to retire early unless
28 the distributions are from a pension trust.

29 (9) Except as otherwise provided in subsection (10) or (11),



1 in determining taxable income under this section, the following
2 limitations and restrictions apply:

3 (a) For a person born before 1946, this subsection provides no
4 additional restrictions or limitations under subsection (1)(f).

5 (b) Except as otherwise provided in subdivision (c), for a
6 person born in 1946 through 1952, the sum of the deductions under
7 subsection (1)(f)(i), (ii), and (iv) is limited to \$20,000.00 for a
8 single return and \$40,000.00 for a joint return. After that person
9 reaches the age of 67, the deductions under subsection (1)(f)(i),
10 (ii), and (iv) do not apply and that person is eligible for a
11 deduction of \$20,000.00 for a single return and \$40,000.00 for a
12 joint return, which deduction is available against all types of
13 income and is not restricted to income from retirement or pension
14 benefits. A person who takes the deduction under subsection (1)(e)
15 is not eligible for the unrestricted deduction of \$20,000.00 for a
16 single return and \$40,000.00 for a joint return under this
17 subdivision.

18 (c) Beginning January 1, 2013 for a person born in 1946
19 through 1952 and beginning January 1, 2018 for a person born after
20 1945 who has retired as of January 1, 2013, if that person receives
21 retirement or pension benefits from employment with a governmental
22 agency that was not covered by the federal social security act, 42
23 USC 301 to 1397mm, the sum of the deductions under subsection
24 (1)(f)(i), (ii), and (iv) is limited to \$35,000.00 for a single return
25 and, except as otherwise provided under this subdivision,
26 \$55,000.00 for a joint return. If both spouses filing a joint
27 return receive retirement or pension benefits from employment with
28 a governmental agency that was not covered by the federal social
29 security act, 42 USC 301 to 1397mm, the sum of the deductions under



1 subsection (1)(f)(i), (ii), and (iv) is limited to \$70,000.00 for a
2 joint return. After that person reaches the age of 67, the
3 deductions under subsection (1)(f)(i), (ii), and (iv) do not apply and
4 that person is eligible for a deduction of \$35,000.00 for a single
5 return and \$55,000.00 for a joint return, or \$70,000.00 for a joint
6 return if applicable, which deduction is available against all
7 types of income and is not restricted to income from retirement or
8 pension benefits. A person who takes the deduction under subsection
9 (1)(e) is not eligible for the unrestricted deduction of \$35,000.00
10 for a single return and \$55,000.00 for a joint return, or
11 \$70,000.00 for a joint return if applicable, under this
12 subdivision.

13 (d) Except as otherwise provided under subdivision (c) for a
14 person who was retired as of January 1, 2013, for a person born
15 after 1952 who has reached the age of 62 through 66 years of age
16 and who receives retirement or pension benefits from employment
17 with a governmental agency that was not covered by the federal
18 social security act, 42 USC 301 to 1397mm, the sum of the
19 deductions under subsection (1)(f)(i), (ii), and (iv) is limited to
20 \$15,000.00 for a single return and, except as otherwise provided
21 under this subdivision, \$15,000.00 for a joint return. If both
22 spouses filing a joint return receive retirement or pension
23 benefits from employment with a governmental agency that was not
24 covered by the federal social security act, 42 USC 301 to 1397mm,
25 the sum of the deductions under subsection (1)(f)(i), (ii), and (iv)
26 is limited to \$30,000.00 for a joint return.

27 (e) Except as otherwise provided under subdivision (c) or (d),
28 for a person born after 1952, the deduction under subsection
29 (1)(f)(i), (ii), or (iv) does not apply. When that person reaches the



age of 67, that person is eligible for a deduction of \$20,000.00 for a single return and \$40,000.00 for a joint return, which deduction is available against all types of income and is not restricted to income from retirement or pension benefits. For tax years that begin before January 1, 2026 and after December 31, 2028, if a person takes the deduction of \$20,000.00 for a single return and \$40,000.00 for a joint return, that person shall not take the deduction under subsection (1)(f)(iii) and shall not take the personal exemption under subsection (2). For tax years that begin before January 1, 2026 and after December 31, 2028, that person may elect not to take the deduction of \$20,000.00 for a single return and \$40,000.00 for a joint return and elect to take the deduction under subsection (1)(f)(iii) and the personal exemption under subsection (2) if that election would reduce that person's tax liability. For tax years that begin on and after January 1, 2026 and before January 1, 2029, if a person takes the deduction of \$20,000.00 for a single return or \$40,000.00 for a joint return, that person shall not take the personal exemption under subsection (2). A person who takes the deduction under subsection (1)(e) is not eligible for the unrestricted deduction of \$20,000.00 for a single return and \$40,000.00 for a joint return under this subdivision.

(f) For a joint return, the limitations and restrictions in this subsection shall be applied based on the date of birth of the older spouse filing the joint return. If a deduction under subsection (1)(f) was claimed on a joint return for a tax year in which a spouse died and the surviving spouse has not remarried since the death of that spouse, the surviving spouse is entitled to claim the deduction under subsection (1)(f) in subsequent tax years



1 subject to the same restrictions and limitations, for a single
2 return, that would have applied based on the date of birth of the
3 older of the 2 spouses. For tax years beginning after December 31,
4 2019, a surviving spouse born after 1945 who has reached the age of
5 67 and has not remarried since the death of that spouse may elect
6 to take the deduction that is available against all types of income
7 subject to the same limitations and restrictions as provided under
8 this subsection based on the surviving spouse's date of birth
9 instead of taking the deduction allowed under subsection (1)(f),
10 for a single return, based on the date of birth of the older
11 spouse.

12 (10) In determining taxable income under this section, a
13 taxpayer may elect to deduct retirement or pension benefits as
14 provided under subsection (1)(f) with the following limitations and
15 restrictions or elect to apply the limitations and restrictions in
16 subsection (9), or subsection (11) if applicable:

17 (a) For the 2023 tax year, a taxpayer who was born after 1945
18 and before 1959 may deduct an amount of retirement or pension
19 benefits not to exceed 25% of the maximum amount of retirement or
20 pension benefits that the taxpayer would be allowed to deduct for
21 the tax year under subsection (1)(f)(iv) if the taxpayer's
22 retirement or pension benefits were subject to the limitations of
23 that subsection only.

24 (b) For the 2024 tax year, a taxpayer who was born after 1945
25 and before 1963 may deduct an amount of retirement or pension
26 benefits not to exceed 50% of the maximum amount of retirement or
27 pension benefits that the taxpayer would be allowed to deduct for
28 the tax year under subsection (1)(f)(iv) if the taxpayer's
29 retirement or pension benefits were subject to the limitations of

1 that subsection only.

2 (c) For the 2025 tax year, a taxpayer who was born after 1945
3 and before 1967 may deduct an amount of retirement or pension
4 benefits not to exceed 75% of the maximum amount of retirement or
5 pension benefits that the taxpayer would be allowed to deduct for
6 the tax year under subsection (1)(f)(iv) if the taxpayer's
7 retirement or pension benefits were subject to the limitations of
8 that subsection only.

9 (d) For the 2026 tax year and each tax year after 2026, a
10 taxpayer may deduct retirement or pension benefits as provided
11 under subsection (1)(f), except that the amounts deductible under
12 subsection (1)(f)(i) and (ii) combined are subject to the same
13 maximum amounts allowed under subsection (1)(f)(iv) for a single
14 return and a joint return for that same tax year.

15 (e) For a joint return, the limitations and restrictions in
16 this subsection shall be applied based on the date of birth of the
17 older spouse filing the joint return. If a deduction under
18 subsection (1)(f) was claimed on a joint return for a tax year in
19 which a spouse died and the surviving spouse has not remarried
20 since the death of that spouse, the surviving spouse is entitled to
21 claim the deduction under subsection (1)(f) in subsequent tax years
22 subject to the same restrictions and limitations under this
23 subsection, for a single return, that would have applied based on
24 the date of birth of the older of the 2 spouses.

25 (11) For tax years beginning on and after January 1, 2023, in
26 determining taxable income under this section, a taxpayer with
27 retirement or pension benefits received for services as a public
28 police or fire department employee subject to 1969 PA 312, MCL
29 423.231 to 423.247, a state police trooper or state police sergeant



1 subject to 1980 PA 17, MCL 423.271 to 423.287, or a corrections
2 officer employed by a county sheriff in a county jail, work camp,
3 or other facility maintained by a county that houses adult
4 prisoners may elect to deduct retirement or pension benefits as
5 provided under subsection (1)(f) without any additional limitations
6 or restrictions or elect to apply the limitations and restrictions
7 in subsection (9) or (10).

8 (12) As used in this section:

9 (a) "Oil and gas" means oil and gas subject to severance tax
10 under 1929 PA 48, MCL 205.301 to 205.317.

11 (b) "Senior citizen" means that term as defined in section
12 514.

13 (c) "United States Consumer Price Index" means the United
14 States Consumer Price Index for all urban consumers as defined and
15 reported by the United States Department of Labor, Bureau of Labor
16 Statistics.